

LEVEL 2 · DEEP DIVE · LEVEL 3 · IMMERSION

Modules 4-6

LTV discipline and the defense · scenario planning · the accumulation system.

Buy Borrow Thrive · Day 3 · The drill is a gate



MODULE FOUR • 85 MIN • BOTH MODES

LTV Discipline & The Defense

Anyone can open a position — the platform makes it four taps. This is how you still hold it in two years.

THREE NUMBERS

Two belong to the platform. One belongs to you.

85%

margin call — the platform's
warning line

91%

liquidation — the platform's action
line

30%

your ceiling — nobody enforces it
but you

The gap between 30 and 85 is not wasted capacity. That gap is the entire product — it is what you are buying with the discipline.

SURVIVABLE DRAWDOWN

Compute your own row

Opening LTV	Margin call	Liquidated	Survives 2021 –53%?	Survives 2022 –77%?
78%	–8.2%	–14.3%	No	No
50%	–41.2%	–45.1%	No	No
30%	–64.7%	–67.0%	Yes	No
20%	–76.5%	–78.0%	Yes	Barely

drawdown to liquidation = $1 - (LTV \div 0.91)$. Look at the 30% row honestly — it does not survive 2022. Your ceiling is a much better bet than 50%, and it is still a bet.

WHAT NOBODY WARNS YOU ABOUT

It arrives at 3am.

During a week when everything is red and every feed says it is going lower. When your business is also having a bad month, because these things correlate. You will not be making a good decision in that moment. So you make the decision now, tonight, in this room, while nothing is wrong.

For every peso you deploy, hold a peso back

- 1 Not in the position**

Obvious, but people drift. Reserve deployed is reserve that does not exist.
- 2 Not in the same asset**

Bitcoin held as reserve against a Bitcoin position is not reserve — when you need it, it has fallen by the same percentage that created the emergency.
- 3 Reachable in under an hour**

Reserve in a time-locked earn product with a seven-day unbonding is not reserve. Check the lock terms tonight.
- 4 Used it? Rebuild it.**

Before a new position. Before adding. Before anything.

TWO NUMBERS, AND YOU NEED BOTH

Position LTV and programme LTV

30%

position LTV — $\text{loan} \div \text{collateral}$. What Binance shows.

15%

programme LTV — $\text{loan} \div (\text{deployed} + \text{reserve})$. What you actually carry.

\$100 deployed, \$30 borrowed, \$100 reserve. Compute both. Write both on the Risk Card.

Four alarms — everyone sets all four tonight

1 LTV 40% — awareness

You do nothing. You just know.

2 LTV 50% — prepare

Reserve confirmed reachable, top-up calculated. Not executed — calculated.

3 LTV 60% — ACT

Top up from reserve to bring LTV back to 30%. Message your coach the same day.

4 Liquidation price $\times$ 1.3

The “this is serious” line.

ALARMS ARE PRICE, NOT LTV

$$\text{price at target LTV} = \text{entry} \times (\text{entry LTV} \div \text{target LTV})$$

Target LTV	Working	Alarm price	Action
40%	$100,000 \times (0.30 \div 0.40)$	\$75,000	Log it
50%	$100,000 \times (0.30 \div 0.50)$	\$60,000	Calculate, do not execute
60%	$100,000 \times (0.30 \div 0.60)$	\$50,000	ACT
liq $\times 1.3$	$32,967 \times 1.3$	\$42,857	This is serious

Everyone compute your four prices now and write them on the card.

When an alarm fires you do not think. You read.

1

LTV 40%

Nothing. Log the date.

2

LTV 50%

Confirm reserve is reachable. Calculate the top-up. Do not execute.

3

LTV 60%

Execute the top-up from reserve. Return LTV to 30%. Message your coach the same day.

4

Reserve exhausted and LTV still climbing

Repay the loan from reserve, close the borrow, KEEP THE BITCOIN. Losing the loan is not losing. Losing the Bitcoin is losing.



MODULE FIVE • 45 MIN • BOTH MODES

Scenario Planning

The margin-call drill. Run it like a fire drill — and it is a gate.

DRILL ONE · WORKED TOGETHER

Entry \$100,000 · \$100 deployed · 30% LTV · \$100 reserve

Bitcoin falls to	The drop	New LTV	Which alarm	What you do
\$55,000	−45%	54.5%	Alarm 2	Confirm reserve. Calculate \$45. Do NOT execute.

Collateral needed to return to 30% = $30 \div 0.30 = \$100$. You have \$55. So \$45 from reserve — calculated, not spent. Alarm 2 is prepare, not act.

Same position. Bitcoin falls to \$45,000.

The drop	New LTV	Alarm	Action	Reserve left
−55%	66.7%	Alarm 3	Top up \$55 from reserve	\$45

Collateral needed \$100, you have \$45, so top up \$55. Rebuilding the reserve is now the next priority.

DRILL THREE · THE TEACHING ROUND

You topped up. 0.002222 BTC, loan \$30, reserve \$45.
Bitcoin falls to \$28,000.

Option	Cost	What you are left holding	Verdict
Top up again to 30%	\$37.78 of a \$45 reserve	A leveraged position with \$7.22 of defence	Technically available. Strategically finished.
Repay the \$30 loan outright	\$30 of a \$45 reserve	All 0.002222 BTC, unencumbered, \$15 left	Liquidation risk goes to zero

LTV = 30 ÷ 62.22 = 48.2%. You started with 0.001 BTC. You end this drawdown with 0.002222 — more than double — no loan, money left over, and Bitcoin down 72%.

ROUND FOUR • THE GATE

Individually. No notes. Scored.

Your coach gives you a scenario. You state: new LTV, which alarm, the action, the amount, and your remaining reserve. A participant who cannot do this unaided does not proceed to Module 6 — they repeat with the next cohort, at no charge, with their position open and a coach watching.



MODULE SIX • 150 MIN • BOTH MODES

The Accumulation System

The first module where the failure mode is greed rather than ignorance.

NAMING THE CONFLICT

One peso, two jobs — you have been carrying this since Level 1

Carry capital

Sits in Earn

- Works every day
- Certain, small, continuous
- NOT there when the dip comes

Dry powder

Sits in stablecoin

- Earns nothing
- Uncertain, lumpy, occasional
- IS there the day price hits your level

THE ALLOCATION RULE

Three buckets. Say them.

RESERVE

defends the position you have —
never spent on a dip

DRY POWDER

buys a position you do not have yet
— 40%

CARRY

earns the spread — 60%

Dry powder is topped up before carry. And reserve is NOT dry powder — spending reserve on a dip is the single most common way a disciplined person blows up. They buy the 40% drawdown with their defence money, and the 60% drawdown liquidates them.

THE LADDER

Do not spend dry powder at one level

Level	Price (worked)	Deploy	Why
0.618	\$104,720	30%	Shallowest, most likely reached, smallest commitment
0.50	\$100,000	30%	The midpoint
0.382	\$95,280	40%	Deepest, least likely, biggest reward for reaching it

\$40 dry powder, Fib high \$120,000, low \$80,000 → \$12 · \$12 · \$16. Weighted to the deeper levels on purpose: reach only 0.618 and you have kept 70% for better.

ONE OPERATIONAL RULE

Bitcoin you buy with dry powder is held in Spot. It does not go into collateral.

Keep adding accumulated Bitcoin to collateral and your liquidation price moves every time you buy, your alarms go stale, and the plan you wrote stops describing the position you have. Leave it in Spot: your loan stays \$30, your liquidation price stays where you wrote it, your alarms stay true. Re-base deliberately once a year, with your coach.

What if price goes below 0.382?

1

It happens, in the years that matter most

2018 and 2022 both went far below any reasonable ladder.

2

Dry powder — spent. That is by design.

3

Reserve — not for this. Ever.

Check your LTV, follow the decision tree, and if the alarms fire, defend.

4

New capital from income can buy down there

Borrowed capital and reserve cannot.

BORROW UP, BUY DOWN

Rising price lowers your LTV by itself — that fall IS your borrowing capacity

Step	Price	Collateral	LTV	What you may borrow
Open	\$100,000	\$100	30%	—
Price rises	\$130,000	\$130	23%	\$9 more, to return to 30%

\$9. That is what a 30% rally gave you — split 60/40 into \$5.40 carry and \$3.60 dry powder. Anyone telling you leverage compounds fast on the way up is describing a much higher LTV than you run, and a much shorter holding period than you have.

NEVER

Three things that never happen, whatever the chart is doing

1

LTV above 30% to buy a dip

The dip is why you have dry powder. If dry powder is gone, the dip is not yours.

2

Reserve deployed into a dip

Ever.

3

Buying collateral with borrowed money during a margin call

It raises the loan and the collateral together. It rescues nothing and makes the eventual liquidation bigger.

Your 90-Day Accumulation Plan

1

Your three buckets

Reserve, dry powder, carry — amounts, and where each physically sits.

2

Your ladder

Three price levels, three deploy amounts, computed tonight.

3

Your borrow-up rule

The LTV that permits a borrow, and the 60/40 split.

4

Your never-list

The three things above, in your own handwriting.

5

Your review date

90 days out, entered in a calendar in this room — not promised.